

Passive Exposure Limit Check – Daily Portfolio Control Procedure

Sample enterprise SOP for workflow-extraction testing

1. Purpose and Scope

This procedure describes the daily control used to identify portfolio holdings or issuer exposures that exceed limits stated in an applicable investment mandate. It covers the preparation of portfolio data, calculation of exposure percentages, comparison with configured thresholds and creation of exceptions for positions outside permitted limits.

2. Source Data

The monitoring process uses the approved portfolio valuation and holdings data for the relevant valuation point. The required information includes portfolio net asset value, security or issuer-level market values and the mandate limits applicable to the portfolio. Data is expected to represent a consistent reporting point so that the resulting exposure percentages are comparable.

3. Portfolio Snapshot

At the beginning of the monitoring cycle, the latest available NAV and holdings snapshot is loaded into the control process. Data-quality checks confirm that required values are present and that the portfolio can be evaluated. Where a required source value is unavailable, the issue is handled through the existing data-quality process rather than being silently substituted with an estimated value.

4. Exposure Calculation

For each relevant holding or issuer grouping, the process calculates the percentage weight relative to portfolio NAV. The calculated exposure represents the portion of the portfolio attributable to the relevant security or issuer at the measurement point. The calculation follows the firm's configured methodology and does not require a subjective assessment of the position.

5. Mandate Limit Application

The applicable investment mandate provides the threshold against which the calculated exposure is evaluated. Limits are maintained as configured control values where the mandate permits them to be represented numerically. For example, a single-issuer restriction may specify that exposure must not exceed five percent of NAV.

6. Threshold Comparison

The control compares each calculated exposure with its applicable limit. A holding at or below the configured threshold remains within the normal limit for this control, while a holding above the threshold generates an exception. The comparison is performed consistently across the portfolio without requiring an analyst to interpret whether a small difference is commercially significant.

7. Exception Creation

For each exceeded threshold, the monitoring process creates an exception record. The record contains sufficient information for follow-up, including the portfolio, relevant holding or issuer, measured exposure, permitted limit and observed variance. Exceptions are made available to the monitoring or compliance team through the established reporting process.

8. Review and Escalation

The daily exposure check is a monitoring control and does not by itself determine the ultimate root cause of an exception. Where a position is flagged, the relevant team follows the firm's breach investigation procedure. That investigation may consider additional information that is outside the numerical monitoring process.

9. Configuration and Change Control

Mandate limits and calculation parameters are maintained under the firm's existing configuration and change-control procedures. Updates should be traceable to the applicable mandate or approved instruction. The monitoring process uses the configured values rather than generating or interpreting new limits dynamically.

10. Operational Characteristics

The control is repetitive and operates on structured numerical data. The core question answered by the process is whether a calculated exposure exceeds a predefined threshold. The workflow therefore separates the mechanical identification of exceptions from any subsequent investigation into why an exposure occurred or whether an exception is ultimately a reportable breach.